

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$26.88 ▲ 4.88%	12M Price Target \$28.00	52-Week Range \$10.30 – \$58.15	Market Cap \$8.93B
------	-----------------	-----------------------------	------------------------------------	-----------------------

RGTI: Reiterate Hold on \$100M Federal Backing, Offset by CEO Sale

WHAT'S CHANGED

- Zacks/Simply Wall St. flagged potential \$100M U.S. CHIPS Act-linked quantum R&D backing for RGTI alongside 108-qubit Ankaa-class system launch — incremental positive for funding runway and validation.
- CEO Subodh Kulkarni sold 61,000 shares at \$24.38 (~\$1.49M) on 6/1, executed into the rally — bearish optical signal despite 0.21 P/C ratio and aggressive June \$27/\$30/\$34 call accumulation (5,510 contracts at \$34 strike = 196.8x OI).

IMPLICATIONS

The convergence of federal funding optionality and the 108-qubit launch reinforces RGTI's position as a Tier-1 U.S. gate-model quantum pure-play, but D-Wave's parallel IBM Foundry leverage and gate-model roadmap signals intensifying competition for the same DOE/CHIPS dollars. Options flow is unambiguously speculative-bullish (call notional ~\$2.4M concentrated in June OTM strikes), suggesting traders are positioning for a near-term squeeze toward the \$30-34 zone. However, CEO selling into strength alongside a still-pre-revenue financial profile (~\$15M TTM) caps our willingness to chase at \$26.88 — 35% off the 52-week high but still ~550x sales.

VALUATION

At \$8.93B market cap on FY26E revenue of ~\$16M, RGTI trades at ~558x forward sales — a multiple sustainable only under narrative-driven, optionality-pricing regimes typical of pre-commercial quantum names. Our \$28 PT applies a ~500x FY27E sales multiple discounted for execution risk, implying ~4% upside; bull case to \$50 requires the \$100M federal award to convert and Ankaa-class to demonstrate gate fidelity benchmarks against IBM/IONQ. Multiple compression to peer median (~300x) would imply downside to \$15.

KEY RISKS

- Federal funding (\$100M) is contingent — appropriation delays or reallocation to D-Wave/IBM consortium would gut the bull thesis.
- Cash burn at current opex run-rate implies dilutive capital raise within 12-18 months absent material revenue inflection.
- CEO and insider selling pattern (cluster signal) may foreshadow management's view that current \$27 print is above intrinsic value.

RECENT NEWS

6 IPOs to Watch This Week Ahead of the SpaceX Main Event Barrons.com · 2026-06-02 18:20

D-Wave Seeks to Leverage IBM's Quantum Foundry. \$100 Million in Federal Funding Will Help. Barrons.com · 2026-06-02 17:50

Langston's | Equity Research Coverage

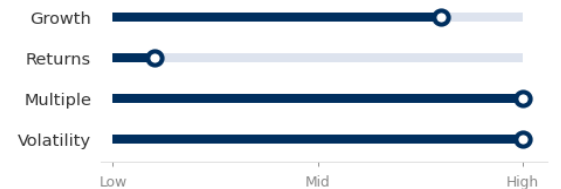
AI-Generated Pre-Market Brief | 2026-06-02 19:48 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$26.88
12M Price Target	\$28.00
Upside / (Downside)	+4.2%
Market Cap	\$8.93B
FY2026E Revenue	\$16M
FY2027E Revenue	\$28M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$32.00	\$27.00	\$22.00
6 Months	\$40.00	\$28.00	\$18.00
1 Year	\$50.00	\$30.00	\$15.00
2 Years	\$70.00	\$35.00	\$12.00
5 Years	\$120.00	\$50.00	\$8.00
10 Years	\$250.00	\$80.00	\$5.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.76% 5D), Materials

COLD SECTORS: Utilities (-3.19% 5D), Real Estate (-2.85% 5D)

ROTATION WATCH: Tech leadership remains intact with capital flowing into AI-adjacent and frontier-compute narratives; quantum is a beneficiary as investors seek "next-AI" optionality plays with government backing.

BYPRODUCT PLAY: Cryogenic infrastructure (BKSY-adjacent), specialty semis for quantum control electronics (FORM, AEHR), and HPC integrators benefit from federal quantum dollars even if specific platform winners remain uncertain.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ): Trapped-ion architecture continues to win enterprise pilots; commercial revenue trajectory ahead of RGTI on a \$/qubit basis.
- QBTS (D-Wave): Announced gate-model roadmap and IBM Foundry leverage with \$100M federal support — directly encroaching on RGTI's superconducting moat narrative.

RGTI CONTEXT: RGTI is lagging the quantum peer-set on a 52-week relative basis (35% of range vs. IONQ/QBTS trading closer to highs), suggesting the market views Rigetti's commercialization timeline as less certain. Today's bounce is news-driven catch-up rather than sustained leadership.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$20-22 on technical pullback

Time Horizon: 12-24 months

Thesis Invalidation: 108-qubit Ankaa milestone slip >6 months or federal funding rescission

Hedging: Long IONQ or QBTS as quantum-basket offset; collar via Jun \$30C / \$22P